BUSINESS STRATEGY
Suggested Answers
March-April 2023

Answer to the Question# 1(a)

a) Memorandum to Jamil Haider: Subject: Steps to create, implement, and review a business plan for TCL

Dear Jamil Haider,

As requested, I have outlined the steps required to create, implement, and review a business plan for TCL:

1. Define the Company's vision, mission and value statement.
2. Define the business objectives: This involves identifying the company's long-term goals and short-term targets, such as revenue, market share, and profitability.
3. Conduct a SWOT analysis: A SWOT analysis will help to identify TCL's strengths, weaknesses, opportunities, and threats. This will enable TCL to understand its position in the market and help in developing a competitive advantage.
4. Develop a marketing strategy: The marketing strategy should include the target market, pricing, promotion, and distribution channels.
5. Develop a Human Resource Strategy outlining the resource requirements going forward and strategies for organizational development
6. Develop a Supply Chain Strategy leveraging upon long term supplier development and sourcing strategies
7. Develop an IT Strategy defining the areas of business than can be automated and enhance efficiency
8. Develop a financial plan: The financial plan should include projected income statements, balance sheets, and cash flow statements. This will help in identifying the financial requirements for the implementation of the plan.
9. Implementation: Implementation of the business plan involves assigning specific tasks and responsibilities to different departments, developing timelines, and monitoring progress.
10. Review and revise: It is essential to monitor progress against the business plan and adjust the plan accordingly. This will enable TCL to remain flexible and adapt to changing market conditions.

Critical factors for successful implementation of the plan include:

Success may depend on six factors:

(1) TCL's ability to adapt to new markets. This should be possible, given that TCL has high quality flexible production facilities. If TCL can make any type of glass in any size, then TCL should penetrate new markets.
(2) Finding new customers in the non-defense sector. TCL's brand name counts for very little and potential customers must be convinced that TCL is serious. TCL's ability to meet their exact requirements will evidence this, but TCL will have to diversify to a new customer base or face closure.
(3) Providing top quality and specific solutions. Each customer is a new challenge and, if TCL wants to compete with other niche rivals, TCL must offer excellent quality and innovation TCL will also have to ensure that they have high standard product testing facilities.
(4) Retention of key employees as TCL's rivals perceive a threat and try to poach them.
(5) TCL's willingness to tackle overseas markets. If TCL are to be successful, it needs to be prepared to travel, employ interpreters and take some risks in unknown markets.

(6) Bad debt and foreign exchange risks. If TCL achieves overseas sales, it will be exposed to these risks, but NAM financial services may provide some stability and credit insurance for a free.

I hope this memorandum provides you with an overview of the steps required to create, implement, and review a business plan for TCL.

Sincerely, [Your Name]

b) Ways to communicate changes to stakeholders:

(i) Shareholders: Hold meetings with shareholders and provide them with regular updates on the progress of the change process.

(ii) The Press: Issue press releases and hold media conferences to communicate the changes to the press.

(iii) Suppliers: Send letters or emails to suppliers explaining the changes and how they may impact the relationship between TCL and its suppliers.

(iv) Customers: Communicate the changes to customers through letters, emails, or phone calls. Highlight the benefits of the changes to them.

(v) Senior Managers: Hold meetings with senior managers and provide them with detailed information on the changes and their roles in the change process.

(vi) Staff: Communicate the changes to staff through meetings, emails, or memos. Address their concerns and encourage feedback.

(vii) Line Managers: Provide line managers with training on the changes and how to communicate them to their teams. Encourage them to answer their teams' questions and concerns.

c) Types of Business Risks:

1. Strategic risks: These are risks associated with the decisions made by the company, such as entering new markets or launching new products.
2. Financial risks: These are risks associated with the company's financial performance, such as fluctuations in currency exchange rates or interest rates.
3. Operational risks: These are risks associated with the day-to-day operations of the company, such as equipment failures or supply chain disruptions.
4. Compliance risks: These are risks associated with the company's compliance with laws and regulations, such as environmental regulations or labor laws.
5. Reputational risks: These are risks associated with damage to the company's reputation, such as negative publicity or customer dissatisfaction.
6. Human resource risks: These are risks associated with the management of employees, such as employee turnover or labor strikes.
7. Internal Control Risks: These are risks that may occur on a day to day basis that may impair the attainment of business objectives and mainly address business processes.

Understanding these risks is essential for TCL to develop strategies to manage and mitigate them, thereby minimizing their impact on the company's performance.

Answer to the Question# 2(a) (i)

Evaluation of forecast for strategy 1

	Actual	Forecast
	2022	2023
Food as % of turnover	35%	35%
Labor % of turnover	33%	33%
Gross profit margin	32%	32%
Net profit margin	0.1%	8.1%
No of customers pa (Revenue/Average spend)	54,000	72,000
No of customers per day (based on 360 days pa)	150	200
Turnaround of tables (daily customers/50)	3	4
Gross profit per customer (gross profit/no of customers)	Tk 2.88	Tk 2.88

	% increase 2022-2023
Revenue	33.3%
Gross profit	33.3%
Overheads	Nil
Net profit	9,969%
Customers per day	33.3%
Average spend per customer	Nil

Impact on current position of an average restaurant

Currently the 'average restaurant' is making a contribution of TK 155,520 but only just breaking even (net profit of TK 520) after its allocated share of the rent, marketing and other overheads. This appears to be consistent with the suggestion that results have suffered as a result of significant rent increases.

Overall the new strategy would therefore appear to significantly improve the situation, with the 33% increase in customers generating a TK 51,840 increase in gross profit and hence PBIT.

Assuming there is no change in fixed costs, and that gross margins remain at 32%, any increase in customer volumes will increase capacity utilization and hence lead to extra profit.

On the face of it, the sales director's forecasts suggest the proposal is a good one, however this depends on whether the sales director's forecast of both volumes and cost behavior is realistic, and whether the increased customer numbers can be achieved across the chain in the manner suggested. Given the FD's absence, it is possible that the sales director lacks the necessary experience to produce accurate forecasts and this is examined further in a(ii) below.

Answer to the Question# 2(a) (ii)

Reasonableness of forecast and assumptions for predicting company-wide results

Customer numbers

The sales director has assumed that widening the target market will increase the number of customers by 50 per day or 33.3% overall. The implication is that these will come from the new target market.

This target seems quite ambitious and equates on average to an extra sitting a day, as the turnaround of tables increase from 3 to 4 times. Whether the planned increase is achievable will depend to an extent on the location of the restaurant and the competition in the surrounding area.

In reality the increase is unlikely to be spread evenly across the week business customers are more likely to use the restaurant Monday-Friday, whereas local families may be more inclined to visit at weekends. The restaurant may encounter problems if, for example, the additional custom is all generated at lunch time, when the tables may already be full.

Also in view of the strong competition, if Pankouri continued with its existing strategy customer numbers may decline between 2022 and 2023, requiring even more customers to be generated from the new target market.

It would be helpful to break the forecast down, to more clearly identify the forecast revenue and customer numbers under both the existing and new strategies.

Average spend and margins

The forecast is based on average spend remaining constant at TK 9 per customer and gross margins continuing at 32% or TK 2.88 per customer. Thus the 33.3% increase in customers leads directly to a 33.3% increase in overall gross profit. The forecast does not appear to take account of the fact that the new target customers may have a different spending pattern. Business customers who use the restaurants for meetings are likely to occupy a table for longer but may spend less if they only purchase several cups of coffee.

The introduction of a new snack menu may attract increased volumes of travellers but is likely to lead to a reduction in the average spend. This type of food may require little preparation however, so it is possible that margins will increase on these menu items as there is less labour cost involved if the product is offered on a self-service basis.

Average spend is thus likely to vary by type of customer and time of day and margins will vary by menu dish, thus more information would be required to make a more accurate prediction.

Overheads

The sales director has assumed that allocated overheads will remain constant. In 2nd reality overheads are likely to increase for the following reasons:

- Pankouri will need to raise awareness of its new strategy and menu. This will necessitate promotion to business customers and local families, and printing of new menus. Widening the target market will therefore involve increased Linea marketing costs unless Pankouri believes that it can attract sufficient coverage via articles in local newspapers and word-of-mouth.
- Pankouri will incur capital costs to fit out part of the restaurant as an office area and ongoing IT costs to support and maintain this strategy.
- Certain costs may be subject to annual price increases eg rent and utilities.

Extrapolation of results company-wide

As the gross profit margin is broadly the same across all Pankouri restaurants and all other costs incurred by the business are split equally across the 65 restaurants, the only variables are customer numbers and average spend.

In order to properly predict the results for the chain as a whole, the customer numbers and average spend for each individual restaurant would be required and these could be amalgamated to create a group forecast.

In the absence of such information, the sales director's forecast for the average Pankouri restaurant could be extrapolated.

With the average restaurant only just breaking even after allocated overheads, the company's PBIT for year ended August 2022 could be estimated at Tk 33,800 (65 x Tk 520) which is unlikely to be a sufficient return for investors after interest and tax payments.

Leaving aside the inaccuracies noted above, then the overall forecast group PBIT for year ended August 2010 under strategy 1 would be estimated at Tk 3,403,400 (65 x Tk 52,360) a substantial improvement.

Range of possible results

To get a better idea of the variation in performance, the range of individual restaurant results could be considered:

Actual 2022

Gross profit:

Worst: 95 customers 360 days @ Tk 7.50 x 0.32 = TK 82,080

Best: 245 customers 360 days @ TK 10.50 x 0.32 TK 296,352

After deducting overheads at TK 155,000 this means PBIT in 2022 ranged from a loss of TK 72,920 in the worst restaurant to a profit of TK 141,352 in the best.

Forecast 2010

Assuming the worst and best restaurants were also forecast to increase their customer numbers by 33.3%, 2010 forecast profits under strategy 1 would range from:

Gross profit:

Worst: TK 82,080 x 4/3 = TK 109,440

Best: TK 296,352 x 4/3 = TK 395,136

PBIT

Worst: Tk 109,440 – Tk 155,000 = Loss Tk 45,560 (a reduction in the loss of Tk 27,360)

Best: Tk 395,136 - Tk 155,000 = Tk 240,136 (an increase of Tk 98,784)

Thus the new strategy would increase profits in the average and best restaurants but would still result in Pankouri's worst restaurants being loss-making after the allocation of overheads.

The competition is likely to vary from one restaurant to another and this will affect the results and whether the planned 33% increase in customer numbers will be achievable uniformly across all Pankouri restaurants.

Also some restaurant locations may be more suitable for business/family trade than others. It may not be appropriate to convert all restaurants for business use for example.

Conclusion:

Strategy 1 may be feasible but requires more market research and competitor analysis. Pankouri could attempt to assess the impact of this strategy by running it as a trial in certain restaurants before phasing it in across the whole chain.

Answer to the Question# 2(b) (i)

Strategy 2

Customers required to maintain 2022 PBIT

Calculation of new contribution per customer

	Average Restaurant (Tk)
Current average spend	9.00
New average spend (85% current spend)	7.65
New contribution (20% new spend)	1.53

Customers required to maintain profits

	Average Restaurant (Tk)
Total 2022 Contribution	Tk 155,520
New contribution per customer	Tk 1.53
Customers required per annum	101,647
Hence customers required per day	282
Increase in customers per day (282-150)	132

Alternative approach to calculations:

Contribution per customer

Gross profit per customer at existing prices (a(i))	Tk 2.88
Reduction in gross profit due to price decrease	15% Tk 9.00 = Tk 1.35
New contribution per customer	Tk 2.88 – Tk 1.35 = Tk 1.53

Number of customers required:

Lost contribution = lost revenue from price reduction = 150 x 360 x Tk 9.00 x 15% = Tk 72,900

Thus increase in customers required = Tk 72,900/Tk 1.53 = 47,647 p.a. or 132 per day

Answer to the Question# 2(b) (ii)

Likely impact of strategy 2

Impact on average restaurant:

Unless there are potential savings in staff and food costs, the 15% reduction in price causes the gross profit margin to fall from 32% to 20% for an average restaurant. The calculations in b(i) show that to compensate for this, the average restaurant would need to attract 282 customers per day. This is more than the best performing restaurant currently attracts and for an average restaurant represents an additional 132 customers per day (an increase of 88%).

This looks unobtainable and even if it were successful in doing this, the average restaurant would only be operating just above breakeven. In reality such additional volumes may also necessitate an increase in marketing expenditure or other fixed costs which would further reduce profitability.

Thus the sales director's confidence would appear to be misplaced unless demand is very price elastic.

Impact on the company as a whole:

In 2022, using the existing pricing strategy, after allocating fixed costs, the worst restaurant made a loss of Tk 72,920, the average restaurant was just breaking even, and the best restaurant made a profit of Tk 141,352.

The operations director is worried about the downside risk of the price reduction strategy.

In the worst case scenario, if the price reduction failed to attract any additional customers, the calculations in Appendix 2 show that the worst and average restaurants would become loss making (Tk 115,773) and (Tk 72,380) respectively and the best restaurant would only make a small profit of Tk 18,489. Thus the likely

effect on the company as a whole is a significant deterioration in profitability, which would render it loss making.

Impact on breakeven point

An alternative way to assess the risk of the strategy is to consider the impact of the 15% price reduction on the breakeven point:

Compared to the actual number of customers in 2022, with the 15% price reduction the worst performing restaurant would need to generate an extra 280 customers a day just to break even - almost 3 times its existing customers and more than the number of customers of the best performing restaurant in 2022.

The average performing restaurant would require 131 customers and the best performing restaurant would have a margin of safety of 26 customers.

Conclusion

The price reduction of 15% proposed in strategy 2 would not appear to be viable and without significant increase in numbers or major cost reductions is likely to increase the chain's losses. Rather than reducing all prices by 15%, Pankouri could consider implementing price discrimination strategies eg offering senior citizen or early bird discounts to smooth out the peaks and troughs of trade.

Appendix 2 of possible calculations:

	Worst	Average	Best
New contribution per customer	Tk	Tk	Tk
Current average spend	7.50	9.00	10.50
New average spend (85%)	6.375	7.65	8.925
New contribution (new spend 18/20/22%)	1.147	1.53	1.963

Impact on profits of the price reduction if there were to be no increase in customer numbers:

	Worst	Average	Best
Existing customers per day	95	150	245
New contribution per customer	Tk 1.147	Tk 1.53	Tk 1.963
Annual gross profit	Tk 39,227	Tk 82,620	Tk 173,137
PBIT (after Tk 155,000 overheads)	(Tk 115,773)	(Tk 72,380)	Tk 18,137
Existing 2022 PBIT (see a(i))	(Tk 72,920)	Tk 520	Tk 141,352
Reduction in profitability	(Tk 42,853)	(Tk 71,860)	(Tk 123,215)

Impact of price reduction on breakeven point:

	Worst	Average	Best
Overheads	Tk 155,000	Tk 155,000	Tk 155,000
New contribution per customer	Tk 1.147	Tk 1.53	Tk. 1.963
Break even no. customers	135,135	101,308	78,961
Breakeven customers per day	375	281	219
Actual customers per day 2022	95	150	245
Increase in customers required to break-even	280	131	(26)

Answer to the Question# 3(a)

a) The IT industry in Bangladesh faces several challenges during the take-off stage, as experienced by Advanced Technologies Ltd (ATL). One of the biggest challenges is the lack of capital and resources, which makes it difficult for startups to grow and expand. ATL also faced this challenge in the early days and had to invest out of their own savings before getting investors to trust them and invest in their company.

Another challenge is the preference for foreign companies in Bangladesh, making it challenging for local IT companies to get business from local clients. ATL had to expand their business to other countries to get more clients and expand their business. The lack of digital penetration and technological advancement in Bangladesh compared to other countries in the region also poses a challenge to the growth of the IT industry in Bangladesh.

b) To address the challenges faced by the IT sector in Bangladesh, several measures can be taken. Firstly, the government can provide more incentives and support for local IT startups, such as tax breaks, subsidies, and funding. This would help them to overcome the challenges of lack of capital and resources.

Secondly, the government can improve the infrastructure for the IT industry, such as better internet connectivity, power supply, and other facilities that are necessary for the smooth functioning of the industry. This would help to improve the digital penetration and technological advancement of the country.

Thirdly, there should be more collaboration and partnerships between the government, academia, and the private sector to promote the growth of the IT industry in Bangladesh. This would help to create a more conducive environment for startups and businesses to thrive and contribute to the growth of the industry.

c) Whether or not to support the shifting of ATL's Head Office to Singapore depends on several factors. On the one hand, Singapore offers a more conducive business environment and easier access to overseas clients, which could potentially help ATL to grow and expand their business further. The move could also lead to the creation of more job opportunities for local tech people in Bangladesh.

On the other hand, ATL is a Bangladeshi company, and the government and people of Bangladesh may feel that the company should remain in the country and contribute to the growth of the local IT industry. Moreover, moving the Head Office to Singapore may create the perception that the company is not committed to the development of the IT industry in Bangladesh.

In conclusion, the decision to shift ATL's Head Office to Singapore is a strategic one, and it depends on several factors, including the company's goals, resources, and vision for the future. Ultimately, the company's success will depend on its ability to adapt to the changing business environment and leverage its strengths to create a sustainable and profitable business.

Answer to the Question# 4(a) (i)

Impact of Novel Corona Virus on R & B

The novel coronavirus disease 2019 (COVID-19) was characterized as a global pandemic by the WHO on March 11th, 2020. The COVID-19 global pandemic was associated with numerous short- and long-term impacts on the health market, mainly the hygiene and pharmaceutical sector; which can be seen from both global and local perspectives. Identifying these impacts may guide policy-makers in evidence-informed planning and decision-making to combat associated challenges. For proper planning to prevent long-term complications, short-term impacts should be identified and further be measured with appropriate data-analysis. Identification of these effects is essential for policy-maker guidance towards more evidence-informed planning to overcome accompanying challenges; and this was more important in the context of developing countries with more scares health-care resources and pharmerging markets.

Short-term impacts of COVID-19 pandemic of R & B includes demand changes, regulation revisions, research and development process changes and the shift towards new products and trend changes in consumption of health-market products along with ethical dilemma could be anticipated as long-term impacts of COVID-19 pandemic on pharmaceutical sector in both global and local levels.

The pandemic of COVID-19 poses considerable crisis on the R& B products including health markets and the pharmaceutical sector; and identification of these effects, may guide policy-makers towards more evidence-informed planning to overcome accompanying challenges. Its outbreak was characterized as a global pandemic by the world health organization (WHO]. COVID-19 rapidly spread around the globe and infected about 2.5 million people by April 23, 2020. The COVID-19 pandemic affected world economics, including the pharmaceutical sector. While currently there is no definitive treatment for this novel infectious disease, pharmaceutical industry is assisting governments to address the COVID-19 unmet needs, from research and development actions on potential treatment strategies to balancing medicines supply chain in the time of crisis. Along this, pharmaceutical sectors are struggling to maintain natural market flow; as the recent pandemic affects access to essential medicines at an affordable price, which is the main goal of every pharmaceutical system.

COVID-19 may be seen as a century's opportunity for hygiene and pharmaceutical industry; as it increases the demand for prescription medicines, vaccines and medical devices. This can be seen as one of the main short-term effects of COVID-19 epidemic; however, there are more short and long-term implications to R & B; which is discussed below:

Demand increased

Shortage of supply

Price gone up

Short-term impacts

Regulation changes and shift of communication and promotions to remote interactions through technology and research and development (R&D) process changes

Due to those reasons turnover, profit, dividend, earning per share of R &B gone up steadily from 2018 to 2021.

Answer to the Question# 4(a) (ii)

Impact of Russia Ukraine War on R &B.

Since the war between Russia and Ukraine began on February 24, 2022, the global economy has entered a new terrain of uncertainty. The war-induced challenges have surfaced on various fronts. With global economic integration, a crisis of such nature, which involves a country like Russia, is bound to impact other economies.

The Russian invasion of Ukraine has happened at a time when the world just started to recover from the fallout caused by more than two years of Covid-19 pandemic. But the recovery is facing inflationary pressure due to supply shortages in the face of higher demands as countries are beginning to expand economic activities. The ongoing war has created a new shock for the world. Supply disruptions and financial sanctions pose serious economic challenges. With no signs of reconciliation between Russia and Ukraine, the global economic implications will be much more severe.

Major countries including the US, the UK, Japan and the European Union (EU) have all suspended economic ties with Russia. Sanctions have been enforced on the Russian financial institutions with the objective to disrupt transactions with the country. As Russia is the third largest oil-producing country in the world, the global economy is suffering as a result of high oil prices. Though developed countries are sourcing their requirements from other oil-producing countries, small

and poor countries are finding it difficult with their limited financial abilities to meet their energy requirement. In addition, high oil prices have a knock-on effect on other prices, leading to further inflationary pressure.

Impact on R & D:

Major countries including the US, the UK, Japan and the European Union (EU) have all suspended economic ties with Russia. Sanctions have been enforced on the Russian financial institutions with the objective to disrupt transactions with the country.

Fuel price has gone high so import of raw materials has gone up

The ramifications of these challenges are seen through higher commodity and oil prices. Food prices have skyrocketed.

Petroleum prices have been on the rise for quite some time. The war has pushed it upwards. In March 2021, petroleum price was USD 65.2 per barrel, which has reached USD 95.8 per barrel.

Depending on the duration of the war, its impact at country level will depend on the economic links with Russia and Ukraine, and their exposure to the global economy.

Due to price hike common users have reduced the items produced by R&B, as the price is gone high. Most of the common people spending on purchasing food and essentials, foregoing the use of hygiene items. This is the cause of losing share price and dividends.

Answer to the Question# 4(b)

Future course of action

Bangladesh is already feeling the heat of the Russia-Ukraine war in many ways. If the war continues for a longer period, the impact will intensify. We are feeling the impact through reduction in exports and rise in import bills. Being an oil-importing country, Bangladesh is already feeling the pressure through high import payments. It was reported earlier by the Bangladesh Petroleum Corporation (BPC) that it was losing about BDT 19 crore per day. With high oil prices, the chain effect is felt through a hike in the prices of gas, fertiliser, and other essentials. The government raised diesel prices in November 2021 by about 23 percent, which has already been reflected in the market through the high transport costs and prices of other essential items.

R& B is already affected by the War. And when the situation will improve not known.

Russia is also implementing several projects in Bangladesh. The Rooppur Nuclear Power Plant (RNPP) is a large project being implemented by Russia that involves USD 12.65 billion and is scheduled to be completed by 2025. The ongoing war and economic sanctions against Russia could delay this expensive project, which means cost escalation in Bangladesh. This implies higher loans and burden on the country.

The balance of payment will be under pressure due to high prices and trade sanctions. At the end of January of FY2021-22, the current account deficit reached USD 10 billion as there was an increase in import payments and reduction in remittances. If high current account deficit persists for a longer period, the exchange rate will also fall under pressure.

It should be kept in mind that the impact of the war will continue for some time, even after it is over, since it will take time for the economy to recover from the damages. Therefore, countries will still be feeling the impact of the crisis for a longer period, and thus should be prepared for that. R & D will work with the government to improve the situation.

The policymakers in Bangladesh will have to monitor the market closely. The country should quickly sources commodities from the global market at competitive prices and distributes essential commodities at reduced prices through open market sales. Prudent macroeconomic management should be followed to create fiscal space. As the government is in the process of formulating the budget for FY2022-23, it should allocate adequate resources for social safety net programmes at a larger scale for the poor and low-income families. In this respect, subsidies for critical commodities, such as fuel, power and agriculture, need to be continued for a few months. The economic recovery will depend on the extent of public expenditure. However, waste of public resources and unnecessary public expenditures should be curtailed. Efforts should be given to expedite projects that are near completion, rather than initiate new ones. The government should carefully use its foreign currency as the import payments continue to rise in the uncertain period of war and beyond.

Answer to the Question# 5(a)

a) Six most important management information required for decision making under the new reporting system, and how the information will be arrived at with their advantages:

1. Sales and Revenue by Department: The computerized system can track sales and revenue for each department, which will help identify the most profitable and least profitable departments. This information can be used to make strategic decisions about resource allocation, marketing efforts, and pricing.

2. Inventory Levels: The new system can provide real-time information on inventory levels for each department. This information is crucial for managing stock levels, avoiding stockouts, and reducing wastage. It will also help identify slow-moving items that may require price adjustments or promotions.
3. Customer Demographics: By collecting data on customer demographics, such as age, gender, and location, the system can provide insights into customer behavior and preferences. This information can be used to target marketing efforts and tailor products and services to meet the needs of specific customer groups.
4. Employee Performance: The new system can track employee performance metrics, such as sales per hour and customer satisfaction ratings. This information can be used to identify top performers, provide targeted training and coaching, and recognize outstanding contributions.
5. Profit Margins: The system can calculate profit margins for each product sold in the store, which will help identify products with the highest and lowest margins. This information can be used to adjust pricing and make decisions about product lines.
6. Supplier Performance: By tracking supplier performance metrics, such as on-time delivery and quality of goods, the system can help identify the best and worst performing suppliers. This information can be used to negotiate better deals, reduce costs, and improve supply chain efficiency.

Answer to the Question# 5(b)

Balance score card is an approach that tries to integrate the different measures of performance, where key linkage between operating and financial performance are brought to light. Kaplan and Norton's balanced scorecard was developed in the early 1990s following research into performance measures in high-performing US firms, notably in the IT industries. BSC has four perspectives:

Perspectives	**Question**	**Explanation**
customer	What existing and new customers value from us?	Give rise to targets that matter to customers: cost, quality, delivery, inspection, handling, and so on.
Internal business	What process must be excel at to achieve our financial and customer	Aim to improve internal process and decision making.
Innovation and learning	Can we continue to improve and create future value	Consider the business's capacity to maintain its competitive position through the acquisition of new skill and the development of new products.
Financial	How do we create value for our shareholders?	Covers traditional measures such as, growth, profitability, share holders' value.

Answer to the Question# 5(c)

Developing a Balance score card for Bondhu Ltd.:

Perspective	**Core outcome measures**
Customer	Marker share Customer acquisition Customer retention Customer profitability Customer satisfaction On-time deliver
Innovation and learning	Employee satisfaction Employee retention Employee productivity Revenue per employee % of revenue from new services

	Time taken to develop new products
Internal business	Quality and rework rates Cycle time/production rate Capacity utilisation
Financial	Return on investment Profitability Revenue growth/ revenue mix Cost reduction Cash flow

Answer to the Question# 6(a) (i)

Use of mobile phone devices in office for personal calls distract the work and even result in decreased productivity. Therefore, landline phones could be the option. Clients may be compatible with such type of arrangements but what about after office hours or there may be a situation which need immediate resolutions even most of the times senior officials were in meetings or outside the office. Therefore, installation of landline phone is depending on the cadre of staff and may have restricted use.

Answer to the Question# 6(a) (ii)

Surely, it will affect the morale of staff since their family members or relatives won't be able to contact them in case of an emergency. Depending on the status of employee the mobile phones should be deposited at reception and at break time employees could go check for missed calls of text messages received. Firm may also reckon about allowance for making personal calls from desk during working hours as long as it does not become excessive and the work at hand is not jeopardized. For long term sustainability it is better to accept cell phones as a part of modern-day work life and establish policies for their use. If the firm enforce its 'cell phone use at work' policy, firm should see usage settle at levels that are reasonable for its business.

Answer to the Question# 6(b)

Division Y's cost of material X from outside is Tk.30 in addition inspection charge of Tk. 2 is required to be incurred for outside purchase. Therefore, Division Y would be able to pay equal to total outside cost for internally transferred material X i.e. Tk. 32 which it can be directly use.

Division Z's cost of material X from outside is also Tk.30. However, division Z will not pay anything more than Tk. 27, since it will have to alter the material transferred from X and incur Tk. 3 as alteration cost. Therefore, Division Z would be able to pay only Tk. 27 for the product transferred.

Thus, uniform transfer price will be Tk. 27 for both Y and Z

Workings

Statement Showing Contribution per unit under different options

Particulars	Division A- "X"			Division B- "Y"		Division C- "Z"	
	Sale To	Internal Transfer to		Purchase from	Transfer from	Purchase from	Transfer from
	Outside	Y	Z	Outside	X	Outside	X
Selling Price	30.00	-	-	83.00	83.00	90.00	90.00
Transfer Price	-	27.00	27.00	-	-	-	-
Divisional Variable Cost of Production (Excluding Material 'X')	18.00	18.00	18.00	36.00	36.00	49.00	49.00
Purchase Price 'X'	-	-	-	30.00	-	30.00	-
Transfer Price 'X'	-	-	-	-	27.00	-	27.00
Inspection Cost	-	-	-	2.00	-	-	--
Alteration Cost	-	-	-	-	-	-	3.00
Contribution	12.00	9.00	9.00	15.00	20.00	11.00	11.00

Decision on Capacity Utilization

Division Y:

The idle production capacity of Division Y can be utilized up to 1,000 units which is equal to 20% of total production capacity in the division which requires additional outlay of Tk.18,000 (Tk.9,000x2) against the contribution of Tk.20,000 (Tk. 20 x1,000 units) at transfer price of Tk. 27 per unit. Therefore, it is economically viable to operate at 100% production capacity, optimal production for division Y will be 5,000 units (i.e. at division's full production capacity.

Since division Z is already operating at full production capacity. So, no further expansion is possible in this case, optimal production for division Y will be 2,500 units only (i.e. 100% of division's production capacity).

Division X: Division X is currently operating at 60% capacity i.e. 9,000 units against external demand of 7,500 units. This capacity can be further enhanced by 40% i.e. 6,000 units by incurring additional fixed cost *Tk. 3*6,000 (9,000 x 4). Therefore, division X has excess production capacity to the extent of 7,500 units (1,500 + 6,000) which can be internally transferred.

TDCL can utilised this additional production to the extent of internal transfer needed for division Y and division Z i.e. 5,000 units for Y and 2,500 units for Z. For these7,500 units, 1,500 units will be made available through the difference in current operating capacity and existing market demand i.e. 1,500 units and for remaining 6,000 units, operating capacity has to be enhanced i.e. 40% (6,000/15,000 units). This would be needed a cost equivalent to *Tk.* 36,000 (= Tk. 9,000 x 4) against a contribution of Tk. 54,000 (= Tk. 9x 6,000). Thus, expansion is completely feasible.

Optimal production for division X will be 15,000 units (i.e. at division's full production capacity).

Workings

Statement Showing Internal Transfer Decision (units)

Particulars	**X**	**Y**	**Z**
Maximum External Demand	7,500 units	5,000 units	3,000 units
Total Production Capacity (given)	15,000 units	5,000 units	2,500 units
Current Production Capacity	9,000 units (60%)	4,000 units (80%)	2,500 units (100%)
Capacity that can be added	6,000 units (40%)	1,000 units (20%)	--
Additional Fixed Cost on Expansion	Tk.36,000 (Tk.9,000x4)	Tk.18,000 (Tk. 9,000x2)	--
Units that must be sold/ transferred to get amount as contribution at TP level Tk. 27	4,000 units (36,000/Tk.9)	900 units (Tk. 18,000/20)	---
External Demand not covered by current production	-	1,000 units	500 units
Decision	Expand and make 15,000 units 7,500 to external market and 5,000to Y 2,500 to Z	Expand and make 5,000 units (4,000 units + 1,000 units)	Cannot expand as already total production capacity exhausted.
Additional fixed cost of Tk. 9,000 for using every 10% of the idle divisional production capacity has been considered.			

Conclusion

Recommended Scenario ie. Best Strategy vs Existing Scenario.

Overall, company will gain benefit from the internal transfer of 7,500 units. The company will save outside cost to the extent Tk. 12 per unit (which is over and above the variable cost of production of X) on current divisional requirements of 6,500 units (Y & Z), in total Tk. 78,000. In addition, company will be able to generate contribution of Tk. 29 per unit i.e. (Tk.83-Tk. 36- Tk.18) on additional external sales (division Y) of 1,000 units, in total Tk. 29,000. Moreover, company will save inspection cost of Tk. 2 per unit on internally transferred 4,000 units i.e. Tk. 8,000. However, have to incur alternation charges@ Tk. 3per unit on internally transferred 2,500 units ie, Tk. 7,500. Total net savings amounting to Tk. 107,500 against expansion cost (capacity utilisation) of Tk. 54,000. Company will yield incremental benefit of Tk. 53,500 from this expansion as well as transfer pricing decision.

Workings

Net Gain - Present Scenario

Particulars	X	Y	Z	Total (f)
External Sales	7,500 units	4.000 units	2,500 units	
Internal Transfer	-	-	---	
Contribution - External Sales	90,000 (7,500 units x Tk.12)	60,000 (4,000 units x Tk.15)	27,500 (2,500 units x Tk. 11)	1,77,500
			Net Gain	1,77,500

Net Gain - Recommended Scenario

Particulars	X	Y	Z	Total -Tk.
External Sales	7,500	5,000	2,500	
Internal Transfer	5,000 + 2,500	-	---	
Contribution - External Sales	90,000 (7,500 units x Tk. 12)	1,00,000 (5,000 units x20)	27,500 (2,500 units x11)	2,17,500
Contribution	67,500	-	--	67,500
Less: Additional Fixed Cost	36,000	18,000	--	54,000
			Net Gain	2,31,000

Answer to the Question# 6(c) (i)

Kazi Tea Co. manufactures and distributes finest quality tea. It is one of the largest premium brands, having wide presence in tea market. Therefore, 'quality' is the most critical success factor of Kazi. There are other factors which cannot be ignored such as price, delivery options, attractive packing etc. But all are secondary to the quality.

Answer to the Question# 6(c) (ii)

Kazi Tea Co. manufactures and distributes finest quality tea to hotels, restaurants, and retailers. It is one of the largest premium brands, having wide presence in tea market. It is important to note that premium brands are built on the premise of offering high symbolic value to a very selective segment of consumers that are more focused on high status associations than the underlying price.

In this case scenario adverse price variance indicates that firm has purchased raw material i.e. tea leaves at higher price which may be due to buying of finest-quality material lo try to build strong brand image for its products in alignment with current strategy i.e. product differentiation. Similarly, adverse Efficiency Variance may have been due to following several processes which are taking longer time than normal to maintain the quality level. However, Kazi's costs would rise, to substantiate this a premium pricing would be required.

Answer to the Question# 6(d)

IFAC fundamental principles that will be breached form the proposal from the IT director

- **Integrity**

This requires members not to be associated with any form of communication or report where the information is materially false, provided recklessly or incomplete.

Potential problems with the proposed new system that will result in large cash outflow from ABC to upgrade the system has been identified. Following the IT director's suggestion would involve ignoring the issue without a firm idea of how it will be resolved. This means that the report will be incomplete and misleading to its users.

- **Objectivity**

This requires accountants to ensure that their judgment is not compromised because of bias or conflict of interest. It is likely that the director's demands will be adhered to because failing to do that may jeopardize job career prospects. This would clearly be acting in one's own self-interest.

- **Professional competence and due care**

This requires accountants to follow all applicable technical and professional standards when providing services. It is clearly known that the cost-benefit analysis, when undertaken properly, shows an unfavourable results for the new IT system. Failing to use the correctly obtained result could be seen as a failure to meet professional and technical standards.

- **Professional Behaviour**

This principle requires accountants to avoid any activities that might bring the profession into disrepute.
If you are found to have knowingly misled the Board of Directors into buying a system that is not cost effective, it would clearly damage confidence in the accountancy profession.

---The End---